**NOTE 13. INCOME TAXES**

Prior to our IPO on April 14, 2014, we operated primarily as limited liability companies treated as partnerships for U.S. federal income tax purposes, REIT entities, and taxable entities. As a result, we were not subject to U.S. federal and most state income taxes for our limited liability companies and our REIT entities. Our partnership and REIT status terminated in connection with the IPO, as the La Quinta Predecessor Entities were contributed to Holdings, a "C" corporation, the shares of capital stock held by third-party shareholders of our REIT entities were redeemed for cash totaling approximately $3.9 million, and our REITs were converted into limited liability companies. As a result of these transactions, we have become subject to additional entity-level taxes and, during the second quarter of 2014, we recorded a one-time net deferred tax expense of $321.1 million, which established the associated net deferred tax liability on our balance sheet, and reflects the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases at the estimated blended statutory U.S. federal and state income tax rate of 38.1%. More specifically, this initial deferred tax expense is driven by (1) the recognition of deferred tax liabilities of approximately $462.3 million, primarily related to differences between the book and tax basis for our fixed and intangible assets and related depreciation, (2) the recognition of deferred tax assets of approximately $14 million primarily related to tax-only intangibles, and (3) as a result of the change in the Company's tax status, a tax benefit of $127.2 million related to the reduction in valuation allowance, primarily associated with La Quinta Predecessor Entities' net operating losses and tax credits.

For financial reporting purposes, the consolidated income tax expense is based on consolidated reported financial accounting income or loss before income taxes.



The components of our income tax provision are as follows:

| | For the years ended December 31, | | |
|---|---|---|---|
| | 2016 | 2015 | 2014 |
| | | *(in thousands)* | |
| Current provision: | | | |
| Federal | $ 4,467 | $ 1,933 | $ 2,615 |
| State | 7,070 | 3,442 | 3,121 |
| Foreign | 88 | 78 | 103 |
| Total current | 11,625 | 5,453 | 5,839 |
| Deferred provision: | | | |
| Federal | (5,148) | 17,765 | 22,279 |
| State | (5,984) | (731) | 687 |
| Total deferred | (11,132) | 17,034 | 22,966 |
| Provision for income taxes | 493 | 22,487 | 28,805 |
| Recognition of net deferred tax liabilities upon C-corporation conversion | — | — | 321,054 |
| Total income tax expense | $ 493 | $ 22,487 | $ 349,859 |

The significant components of the deferred tax assets and liabilities as of December 31, 2016 and 2015 are as follows:

| | December 31, | |
|---|---|---|
| | 2016 | 2015 |
| | *(in thousands)* | |
| **Deferred Tax Assets** | | |
| Net Operating Losses | $ 9,145 | $ 43,583 |
| Insurance Accruals | 12,084 | 10,641 |
| Tax Credits | 8,623 | 11,550 |
| Cash Flow Hedge-OCI | 3,431 | 4,004 |
| Intangibles | 10,794 | 12,602 |
| Doubtful Accounts | 1,528 | 1,932 |
| Returns Club | — | 343 |
| Compensation Accruals | 9,481 | 8,054 |
| Other | 2,310 | 1,960 |
| Total gross deferred tax assets | 57,396 | 94,669 |
| Less: Valuation Allowance | (9,116) | (9,300) |
| Deferred Tax Assets | $ 48,280 | $ 85,369 |
| **Deferred Tax Liabilities** | | |
| Fixed Assets | $ 318,986 | $ 361,856 |
| Trademark | 61,823 | 61,603 |
| Cancellation of Debt Income | 6,192 | 9,300 |
| Linens, uniforms and supplies | 3,959 | 4,225 |
| Other | 348 | 1,973 |
| Deferred Tax Liabilities | 391,308 | 438,957 |
| Net Deferred Taxes | $ (343,028) | $ (353,588) |

As of December 31, 2016 and 2015, certain subsidiaries of ours had available federal net operating loss carryforwards (“NOLs”) totaling approximately $26.1 million and $123.8 million, respectively. Generally, NOL carryforwards expire 20 years after the year in which they arise. Our NOLs will expire between 2016 and 2033. In November 2014, Blackstone completed a secondary offering in which it registered and sold 23.0 million of the Company’s shares, bringing its ownership percentage to 45.2%, and creating an ownership change for federal income tax purposes. As a result of this secondary offering, and the resulting ownership change the Company’s federal net operating losses will be limited under Internal Revenue Code Section 382 with annual limitations that became applicable in 2015 through 2019. State net operating loss carryforwards are also available for use subject to similar limitations in many cases. As of December 31, 2016, we have fully utilized all available federal NOLs, except those belonging to certain inactive



subsidiaries. We also have alternative minimum tax (“AMT”) credit carry forwards, as of December 31, 2016 and 2015, in the gross amount of $8.6 million and $11.5 million, respectively, which do not expire.

For periods prior to the IPO, we maintained valuation allowances for our NOLs and AMT credit carry forwards as we believed the more-likely-than-not realization criteria were not met and therefore realization was not reasonably assured. When assessing the adequacy of the valuation allowance, the Company considers both anticipated reversals of deferred tax liabilities within applicable carryforward periods and other potential sources of taxable income within those periods. In connection with our conversion to a C-corporation on April 14, 2014, we reassessed the realizability of our NOLs and AMT credit carryforwards. As a result, we concluded that a valuation allowance was required on only a portion of our NOLs and that the remainder of our NOLs and all of our AMT credit carryforwards meet the more likely than not realization criteria. The impact of our reassessment of the realizability of our deferred tax assets is incorporated in the charge to record the impact of our conversion to a C-corporation. The Company has open tax years dating back to 2010.

The following is a reconciliation of the statutory federal income tax rate to the effective tax rate reported in the combined financial statements:

| | For the years ended December 31, | | | |
|---|---|---|---|---|
| | 2016 | 2015 | 2014 | |
| | | *(in thousands)* | | |
| Statutory U.S. federal income tax provision | $ (214) | $ 17,219 | $ 5,934 | |
| State tax, net of federal benefit | 1,052 | 2,221 | 4,957 | |
| Foreign tax, net of federal benefit | 88 | 50 | 67 | |
| Nondeductible stock compensation | — | 1,948 | 16,155 | |
| Nondeductible book loss from January 1, 2014 through April 13, 2014 | — | — | 4,480 | |
| Permanent items | 389 | 800 | 97 | |
| Tax credits | (548) | (84) | — | |
| Unrecognized tax benefit | 174 | — | — | |
| Change in valuation allowance | 95 | 353 | (767) | |
| Return to provision | (351) | (688) | (329) | |
| Changes in deferred taxes | (169) | 541 | (1,904) | |
| Other | (23) | 127 | 115 | |
| Provision for income taxes | 493 | 22,487 | 28,805 | |
| Recognition of net deferred tax liabilities upon C-corporation conversion | — | — | 321,054 | (1) |
| Income tax expense | $ 493 | $ 22,487 | $ 349,859 | |

(1) The one-time net deferred tax expense of $321.1 million consists of (a) the recognition of deferred tax liabilities of approximately $462.3 million, primarily related to differences between the book and tax basis for fixed and intangible assets, (b) the recognition of deferred tax assets of approximately $14.0 million, primarily related to tax basis only intangibles, and (c) as a result of the change in the Company's tax status, a tax benefit of $127.2 million related to the reduction in valuation allowance, primarily associated with La Quinta Predecessor Entities' net operating losses and tax credits.

The Company files income tax returns in the U.S. Federal jurisdiction and several state jurisdictions. The Company has open tax years back to 2010. We utilize our available tax attributes at the federal and state levels to the extent allowed by applicable law. The Company anticipates that it is reasonably possible a state may challenge our use of certain state tax benefits, although we believe any proposed adjustment pertaining to the use of those state tax benefits would not result in a material change to our financial position. A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows:

| | For the years ended December 31, | | |
|---|---|---|---|
| | 2016 | 2015 | 2014 |
| | | *(in thousands)* | |
| Unrecognized tax benefits, beginning of the year | $ 2,990 | $ — | $ — |
| Gross increase in unrecognized tax positions in the current year | — | 2,990 | — |
| Unrecognized tax benefits, end of the year | $ 2,990 | $ 2,990 | $ — |



At December 31, 2016 and 2015, there are $3.0 million of unrecognized tax benefits that, if recognized, would affect the annual effective tax rate. We do not expect any significant changes in our unrecognized tax benefits over the next twelve months.

Our policy is to classify interest and penalties as a component of income tax expense.

***Tax Contingencies*** — We are subject to regular audits by federal and state tax authorities. These audits may result in additional tax liabilities. The Internal Revenue Service (the "IRS") is currently auditing the tax returns of La Quinta Corporation, one of our former REITs prior to the Pre-IPO Transactions, and BRE/LQ Operating Lessee Inc., one of our former taxable REIT subsidiaries prior to the Pre-IPO Transactions, in each case for the tax years ended December 31, 2010 and 2011. We received a draft notice of proposed adjustment from the IRS on January 9, 2014, and the notice of proposed adjustment was issued to us on June 2, 2014. We

submitted a timely response to the notice of proposed adjustment and, on July 7, 2014, we received an IRS 30-Day Letter proposing to impose a 100% tax on the REIT totaling $158 million for the periods under audit in which the IRS has asserted that the rent charged for these periods under the lease of hotel properties from the REIT to the taxable REIT subsidiary exceeded an arm's length rent. In addition, the IRS proposed to eliminate $89 million of net operating loss carryforwards for the taxable REIT subsidiary for the tax years 2006 through 2009; however, in an IRS rebuttal received on September 26, 2014, the IRS conceded its proposed adjustment on this point was incorrect. We disagree with the IRS' position with respect to rents charged by the REIT to its taxable REIT subsidiary and have appealed the proposed tax and adjustments to the IRS Appeals Office. In determining amounts payable by our taxable REIT subsidiary under the lease, we engaged a third party to prepare a transfer pricing study contemporaneous with the lease which concluded that the lease terms were consistent with an arm's length rent as required by relevant provisions of the Internal Revenue Code of 1986 (the "Internal Revenue Code") and applicable Treasury Regulations. Attorneys and others representing the Company conducted preliminary discussions regarding the appeal with the IRS Appeals Office team on March 31, 2015 and April 1, 2015. In response to a supplemental analysis submitted by the IRS economist to IRS Appeals and provided to us on August 18, 2015, we submitted responses dated September 3, 2015 and October 1, 2015. Our most recent meeting with the IRS Appeals Office team occurred on January 25, 2017. Our discussions with IRS Appeals are ongoing. We believe the IRS transfer pricing methodologies applied in the audits contain flaws and that the IRS proposed tax and adjustments are inconsistent with U.S. transfer pricing principles and the U.S. federal tax laws related to REITs. We have concluded that the positions reported on our tax returns under audit by the IRS are, based on their technical merits, more-likely-than-not to be sustained upon examination. Accordingly, as of December 31, 2016, we have not established any reserves related to this proposed adjustment or any other issues reflected on the returns under examination.

On November 25, 2014, we were notified that the IRS intended to examine the tax returns of the same entities subject to the 2010 and 2011 audit in each case for the tax years ended December 31, 2012 and 2013. We have received several draft notices of proposed



adjustment proposing a transfer-pricing related assessment of approximately $18 million for 2013 and adjustments to our net operating losses for the years 2006 through 2009. Based on our analysis of these draft notices, we believe the IRS transfer pricing methodologies and NOL disallowances applied in the 2012-2013 audit contains the same flaws present in the 2010-2011 audit and that the IRS proposed tax and adjustments are inconsistent with U.S. transfer pricing principles and the U.S. federal tax laws related to REITs. We have concluded that the positions reported on our tax returns under audit by the IRS are, based on their technical merits, more-likely-than-not to be sustained upon examination. Accordingly, as of December 31, 2016, we have not established any reserves related to this proposed adjustment or any other issues reflected on the returns under examination.

On November 1, 2016, the Internal Revenue Service notified the Company that it intends to audit the return of one of its subsidiaries, Lodge Holdco II L.L.C., for the short taxable year ended April 13, 2014. The audit is in its early stages and no issues have been communicated to the Company at this point. As Lodge Holdco II L.L.C. was treated as a partnership for the taxable year ended April 13, 2014, any tax resulting from this examination would be assessed at the partner level rather than against the Company. Accordingly, no provision has been recorded for this examination.